

Case 8: Should We Sell Phones Too?

Domain: Sales and Marketing | Decision Archetype: Brand Extension | Framework: SWOT

Customer Support Chat Log — SkyWave Telecom App (Forwarded to the product team by the support head, marked "Interesting pattern — worth a look")

User_8842: hi do you guys sell phones? I want to buy a new one but stay on skywave network
Agent: We currently don't sell phones, only SIM and recharge plans!

User_8842: oh that's a bummer, was hoping for a bundle deal

User_1023: why doesn't skywave have their own phone like jio does? would buy instantly if trustworthy price
Agent: Thanks for the feedback, I'll pass this along!

User_5567: ur customer service is honestly better than [competitor], if u sold phones I'd switch brands for that too

The support head had pulled 340 similar messages from the last two months — a small but consistent pattern of customers asking if SkyWave sold phones, sometimes tying it directly to loyalty ("I'd buy from you because I trust the network").

SkyWave's leadership team was intrigued but cautious. The company had built a 9-year reputation as a reliable, no-nonsense network operator — not a hardware or retail business. Manufacturing or even white-labelling phones was a completely different game: inventory, warranty claims, retail partnerships, none of which SkyWave had ever done.

The CFO ran a quick internal review before the leadership meeting.

Exhibit 1 — SWOT for the Phone Idea

Strengths	Weaknesses
High customer trust in SkyWave brand	Zero experience in hardware/retail
340+ organic requests in 2 months (real signal)	No manufacturing or supply chain relationships
Existing app + retail store network could sell phones	Warranty/support for hardware is a new cost centre

Opportunities	Threats
Bundle deals could increase customer loyalty & reduce churn	Hardware margins are thin — could hurt overall profitability

Could partner with existing manufacturer instead of building	Reputation risk if phone quality/support disappoints
Growing demand for "trusted network + trusted phone" bundles	Distraction from core telecom business

Discussion Questions

1. Should SkyWave enter the phone business — and if yes, build it themselves or partner with a manufacturer?
2. Is 340 customer messages enough evidence to justify this move, or too small a signal?
3. What's the biggest risk to SkyWave's core brand if this extension goes wrong?